HOWDEN JOINERY CORPORATE SERVICES LIMITED

FINANCIAL STATEMENTS

FOR THE 52 WEEKS ENDED 28 DECEMBER 2013

REGISTERED NUMBER: 01767386

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HOWDEN JOINERY CORPORATE SERVICES LIMITED
STRATEGIC REPORT AND DIRECTORS' REPORT

STRATEGIC REPORT

The Company is a wholly owned subsidiary of Howden Joinery Group Plc. The company's principal activities are providing various corporate and Information Technology services to other member companies of the Howden Joinery Group Plc group ("the Group"). The directors are not aware, at the date of this report, of any likely major changes in the Company's activities in the next year.

The Group manages its operations on a Group basis and the consolidated group report and accounts include a consolidated strategic report. Pursuant to Section 414(A) (4) of the Companies Act 2006 (Strategic Report and Directors' Report) Regulations 2013, which provides that a group strategic report may give greater emphasis to the matters that are significant to the undertakings included in the consolidation when taken as a whole, the following information in relation to the Company can be found in the Group's Annual Report on the pages listed:

- Fair review of the business — pages 18-21
- Description of the principal risks and uncertainties facing the Group and its subsidiary undertakings — pages 22-23
- Financial and non-financial KPIs — pages 21, 25-32
- Future developments — pages 12-13, 17, 21
- Information about environmental matters, social, community and human rights issues — pages 25-32
- Description of business model and strategy — pages 2-17
- Information in relation to Group Employees, including gender statistics, employee involvement and Group policy on the employment of disabled persons — pages 58-64, 71-74

This report is available as part of the Group's Annual Report which is available at http://www.howdenjoinerygroupplc.com/ and which does not form part of this report.

By Order of the Board

Caroline Bishop – Company Secretary
21 March 2014

DIRECTORS' REPORT

The directors have pleasure in submitting their report and the audited financial statements of the Company for the 52 weeks ended 28th December 2013 (*Previous year: 53 weeks ended 29 December 2012).*

DIRECTORS

The directors of the Company who served throughout the period, except as noted, were:

M Ingle
J McManus
M Robson

No director held any beneficial interest in the shares of the Company at any time during the period.

DIVIDEND

The directors do not recommend that a dividend be paid (*2012:£nil).*

EMPLOYEES

The Company had 32 employees *(2012: 32)* during the period and staff costs amounted to £24,954,000 *(2012: £24,375,000).*

POLITICAL CONTRIBUTIONS

The Company did not make any political donations during the period (*2012: £nil).*

AUDITOR

Each of the persons who is a director at the date of approval of this annual report confirms that:

- so far as the director is aware, there is no relevant audit information of which the Company's auditor is unaware; and
- the director has taken all the steps he/she ought to have taken as a director in order to make himself/herself aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

The confirmation is given and should be interpreted in accordance with the provisions of s418 of the Companies Act 2006.

Deloitte LLP have indicated their willingness to be reappointed for another term and will be deemed to be reappointed in accordance with s485 - 488 of the Companies Act 2006.

GOING CONCERN

After making enquiries and taking into consideration the profitability and financial position of the company, the directors have formed a judgement, at the time of approving the financial statements, that there is a reasonable expectation that the company has adequate resources to continue in operational existence for the foreseeable future based on a written commitment of financial support from its ultimate parent company, Howden Joinery Group Plc, which is legally binding. For this reason the directors continue to adopt the going concern basis in preparing the financial statements.

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law, the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK accounting standards have been followed; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The directors are responsible for keeping adequate accounting records which are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

By Order of the Board

Caroline Bishop – Company Secretary
21 March 2014

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF HOWDEN JOINERY CORPORATE SERVICES LIMITED

We have audited the financial statements of Howden Joinery Corporate Services Limited for the 52 weeks ended 28 December 2013 which comprise the Profit and Loss Account, the Balance Sheet, and the related notes 1 to 18. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice).

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Respective responsibilities of directors and auditor
As explained more fully in the Directors' Responsibilities Statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view. Our responsibility is to audit and express an opinion on the financial statements in accordance with applicable law and International Standards on Auditing (UK and Ireland). Those standards require us to comply with the Auditing Practices Board's Ethical Standards for Auditors.

Scope of the audit of the financial statements
An audit involves obtaining evidence about the amounts and disclosures in the financial statements sufficient to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or error. This includes an assessment of: whether the accounting policies are appropriate to the company's circumstances and have been consistently applied and adequately disclosed; the reasonableness of significant accounting estimates made by the directors; and the overall presentation of the financial statements. In addition, we read all the financial and non-financial information in the annual report to identify material inconsistencies with the audited financial statements and to identify any information that is apparently materially incorrect based on, or materially inconsistent with, the knowledge acquired by us in the course of performing the audit. If we become aware of any apparent material misstatements or inconsistencies we consider the implications for our report.

Opinion on financial statements
In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 28 December 2013 and of its profit for the 52 weeks then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Opinion on other matter prescribed by the Companies Act 2006
In our opinion the information given in the Strategic Report and the Directors' Report for the financial year for which the financial statements are prepared is consistent with the financial statements.

Matters on which we are required to report by exception
We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Edward Hanson (Senior statutory auditor)
for and on behalf of Deloitte LLP
Chartered Accountants and Statutory Auditor
London, United Kingdom
21 March 2014

HOWDEN JOINERY CORPORATE SERVICES LIMITED
PROFIT AND LOSS ACCOUNT
FOR THE 52 WEEKS ENDED 28 DECEMBER 2013

	Note	**52 weeks to 28 December 2013 Total £'000**	53 weeks to 29 December 2012 Total £'000
Turnover		**48,861**	44,183
Selling and administrative costs		**(47,063)**	(44,243)
Operating profit/(loss):		**1,798**	(60)
Loss on disposal of fixed assets		**(38)**	(314)
Profit/(loss) on ordinary activities before interest		**1,760**	(374)
Interest receivable	5	**-**	41
Profit/(loss) on ordinary activities before taxation		**1,760**	(333)
Tax credit on profit on ordinary activities	6	**2,445**	222
Profit/(loss) for the financial period		**4,205**	(111)

All results are from continuing operations. There are no recognised gains or losses in the current or preceding financial periods other than as stated in the profit and loss account and therefore no statement of recognised gains and losses has been presented.

HOWDEN JOINERY CORPORATE SERVICES LIMITED
BALANCE SHEET AT 28 DECEMBER 2013

	Notes	28 December 2013 £000	28 December 2013 £000	29 December 2012 £000	29 December 2012 £000
Fixed assets					
Tangible assets	7		**7,167**		8,369
Investments	8		**42,495**		46,755
			49,662		55,124
Current assets					
Debtors	9	**166,761**		807,871	
Current liabilities					
Current borrowings		**(943)**		(633)	
Creditors : amounts falling due within one year	10	**(236,204)**		(888,214)	
		(237,147)		(888,847)	
Net current liabilities			**(70,386)**		(80,976)
Total assets less current liabilities			**(20,724)**		(25,852)
Creditors: amounts falling due after more than one year					
Provisions for liabilities and charges	11		**(4,895)**		(8,298)
Net liabilities			**(25,619)**		(34,150)
Capital and reserves					
Share capital	13		**12,358**		12,358
Profit and loss account	14		**(339,525)**		(343,730)
Capital contribution reserve	14		**280,315**		280,315
Shared-based payment reserve	14		**21,233**		16,907
Shareholders' deficit			**(25,619)**		(34,150)

Approved by the Board of Directors, authorised for issue, and signed on their behalf by

Mark Robson
Director
21 March 2014

1. ACCOUNTING POLICIES

The accounting policies summarised below have all been applied consistently throughout the current and the preceding periods.

BASIS OF PREPARATION

The financial statements have been prepared under the historical cost convention and in accordance with applicable United Kingdom accounting standards.

The financial statements have also been prepared on the going concern basis as discussed in the Directors' report on page 1.

Under Financial Reporting Standard 1, the Company is exempt from the requirement to prepare a cash flow statement on the grounds that it is a wholly owned subsidiary undertaking and a consolidated cash flow statement is given in the financial statements of Howden Joinery Group Plc.

The financial statements include the results for the 52 week period ended 28 December 2013 *(2012: 53 weeks to 29 December)*, being the Saturday nearest to the Company's accounting reference date of 31 December.

TURNOVER

Turnover represents the gross recharges of various corporate and Information Technology services to other Group companies. Revenue is recognised on the provision of qualifying services.

TANGIBLE FIXED ASSETS

Fixed assets are stated at cost net of accumulated depreciation or provision for impairment. Depreciation is provided to write off the cost less any residual value of tangible fixed assets over their estimated useful lives as follows:

Plant and machinery, fixtures and fittings	10% - 25% p.a.
Motor vehicles	20% - 25% p.a.
Leasehold properties	Over life of lease

Assets under the course of construction are not depreciated until such time as the asset is available for use.

INVESTMENTS

Investments represent shares in the ultimate parent which are shares held by employee share ownership trusts, and are recorded at cost, including expenses, less amounts written off. Amounts written off these shares are calculated so as to charge the cost of the shares to profit and loss over the vesting period of the underlying share options or awards.

TAXATION

UK Corporation tax is provided at amounts expected to be paid or recovered, using tax rules and laws that have been enacted or substantively enacted by the balance sheet date.

Deferred taxation is provided on a full provision basis, without discounting, on all timing differences which have arisen but not reversed at the balance sheet date. Except where otherwise required by Accounting Standards no timing differences are recognised in respect of:

(a) property revaluation surpluses where there is no commitment to sell the asset;
(b) gains on sale of assets where those assets have been rolled over into replacement assets; and
(c) additional tax which would arise if profits of overseas subsidiaries were distributed, and deferred tax assets to the extent that they are regarded as not likely to be recovered.

A net deferred tax asset is regarded as recoverable and therefore recognised only to the extent that, on the basis of all available evidence, it can be regarded as more likely than not that there will be suitable taxable profits from which the future reversal of the underlying timing differences can be deducted.

Deferred tax is measured at the average tax rates that are expected to apply in the periods in which the timing differences are expected to reverse, based on tax rates and laws that have been enacted or substantively enacted by the balance sheet date.

1. ACCOUNTING POLICIES (Cont'd)

FOREIGN CURRENCY

Transactions denominated in foreign currencies are translated into sterling and recorded at the rate of exchange ruling at the date of the transaction.

Monetary assets and liabilities denominated in foreign currencies are translated into sterling at rates ruling at the balance sheet date. Foreign exchange profits and losses arising during the period are included in loss on ordinary activities before taxation.

LEASED ASSETS

Leases are classified as finance leases when the terms of the lease transfer substantially all the risks and rewards of ownership to the Company. All other leases are classified as operating leases. For property leases, the land and building elements are treated separately to determine the appropriate lease classification.

Finance leases

Assets funded through finance leases are capitalised as property plant and equipment, and depreciated over their estimated useful lives or the lease term, whichever is shorter. The amount capitalised is the lower of the fair value of the asset or the present value of the minimum lease payments during the lease term at the inception of the lease. The resulting lease obligations are included in liabilities net of finance charges. Finance costs on finance leases are charged directly to the Profit & Loss Account.

Operating leases

Assets leased under operating leases are not recorded on the balance sheet. Rental payments are charged directly to the Profit & Loss Account.

Lease incentives

Lease incentives primarily include up-front cash payments or rent-free periods. Lease incentives are capitalised and spread over the period of the lease term.

Leases with predetermined fixed rental increases

The Company has a number of leases with predetermined fixed rental increases. These rental increases are accounted for on a straight-line basis over the period of the lease term.

PENSIONS

i) Defined benefit pension schemes:

The Company participates in its parent company's Howden Joinery Group Plc group retirement benefit scheme. This is a defined benefit arrangement, operating through a multi-employer defined-benefit scheme. The assets and liabilities of the scheme are held separately from those of the Howden Joinery Group Plc. The Company is unable to identify its share of the underlying assets and liabilities of the scheme and accordingly accounts for the scheme as if it were a defined contribution scheme. This is in line with the guidance in FRS 17 relating to group defined benefit pension schemes.

ii) Defined contribution pension schemes:

The Howden Joinery Group Plc operates a defined contribution scheme for its employees. For defined contribution schemes, the amount charged to the profit and loss account in respect of pension costs and other post-retirement benefits is the contributions payable in the year. Differences between contributions payable in the year and contributions actually paid are shown as either accruals or prepayments in the balance sheet.

1 ACCOUNTING POLICIES (cont'd)

SHARE-BASED PAYMENTS

FRS 20 has been applied to all grants of equity instruments after 7 November 2002 that were unvested as of 25 December 2005.

The Company issues equity-settled share-based payments to certain employees, based on the shares of its ultimate parent company Howden Joinery Group Plc. Equity-settled share-based payments are measured at fair value at the date of grant. The fair value determined at the grant date of the equity-settled share based payments is expensed on a straight-line basis over the vesting period, based on the Group's estimate of shares that will eventually vest.

Fair value is measured by use of a binomial model or a Black-Scholes model, according to the relative complexity of the type of share-based payment to be measured. The expected life used in the model has been adjusted, based on management's best estimate, for the effects of non-transferability, exercise restrictions, and behavioural considerations.

2. RESULT ON ORDINARY ACTIVITIES BEFORE TAXATION

The result on ordinary activities before taxation is stated after charging

	52 weeks to 28 Dec 2013 £000	53 weeks to 29 Dec 2012 £000
Depreciation and other amounts written off fixed assets:		
- owned assets	**2,918**	2,269
Hire of plant and machinery – operating lease rentals	**482**	540
Rent payable on property	**9,475**	9,820

The analysis of auditor's remuneration is as follows:

	52 weeks to 28 Dec 2013 £000	53 weeks to 29 Dec 2012 £000
Fees payable to the Company's auditor for the audit of the Company's annual accounts	25	20
Total audit fees	**25**	20
Tax compliance services	46	35
Total non-audit fees	**46**	35

3. STAFF NUMBERS AND COSTS

The average number of persons (excluding directors) employed by the Company during the period was:

	28 Dec 2013 No.	29 Dec 2012 No.
Management and administration	**32**	32
	32	32

The aggregate payroll costs of these persons were as follows:	£000	£000
Wages and salaries	**2,134**	1,963
Share-based payments	**4,325**	1,175
Social security costs	**259**	236
Other pension costs	**18,236**	21,001
	24,954	24,375

4. REMUNERATION OF DIRECTORS

	52 weeks to 28 December 2013	53 weeks to 29 December 2012
Directors' remuneration	£000	£000
Directors' emoluments	2,658	2,849
Pension costs	14	13
	2,672	2,862
The number of directors who:	No.	No.
Are members of a defined benefit pension scheme	1	1
Are members of a money purchase pension scheme	1	1
Exercised options over shares	3	2
Remuneration of the highest paid director	£000	£000
Directors' emoluments	1,333	1,448
Pension costs	-	-
	1,333	1,448

The highest paid director exercised share options during the year.

Based on normal retirement age the accrued pension of the highest paid director under the Company's defined benefit scheme, should he leave employment at the end of the financial year, is £48,800 *(2012: £45,800)*.

5. INTEREST RECEIVABLE

Interest receivable	52 weeks to 28 Dec 2013	53 weeks to 29 Dec 2012
	£000	£000
Bank interest	-	41
	-	41

6. TAX ON PROFIT/(LOSS) ON ORDINARY ACTIVITIES

	52 weeks to 28 Dec 2013	53 weeks to 29 Dec 2012
	£000	£000
UK Corporation tax – current tax	(2,167)	(175)
Adjustment for prior periods	(483)	(1,809)
Current tax credit	(2,650)	(1,984)
Deferred tax – current year	(87)	689
Deferred tax – adjustments in respect of prior years	292	1,073
Deferred tax charge	205	1,762
Tax credit on profit/(loss) on ordinary activities	(2,445)	(222)

6. TAX ON PROFIT/LOSS ON ORDINARY ACTIVITIES (continued)

Factors affecting current period corporation tax

The current period corporation tax credit is different to the standard rate of corporation tax in the UK of 23.3% *(2012: 24.5%)* for the following reasons:

	52 weeks to 28 Dec 2013 £000	53 weeks to 29 Dec 2012 £000
Profit/(loss) on ordinary activities before taxation for the period	**1,760**	(333)
Profit on ordinary activities before taxation for the period multiplied by the standard rate of corporation tax in the UK of 23.5% *(2012: 24.5%)*	**409**	(82)
Effects of:		
Expenses not deductible for tax purposes	**270**	1,022
Depreciation in excess of capital allowances	**(4)**	(309)
Movement in short-term timing differences	**-**	(104)
Transfer pricing adjustment on non-trading loans	**(544)**	(414)
Tax deductions on share exercises	**-**	(651)
Share Based Payments	**(2,307)**	288
Loss on disposal of fixed assets	**9**	75
Prior year adjustment	**(483)**	(1,809)
Current tax credit for the period	**(2,650)**	(1,984)

7. TANGIBLE FIXED ASSETS

	Leasehold Properties £000	Plant and machinery £000	Fixtures and fittings £000	Assets in the course of construction £000	Total £000
Cost					
At 29 December 2012	6,370	85,765	4,153	721	97,009
Transfers	-	721	-	(721)	-
Additions	102	1,572	23	143	1,840
Disposals	(43)	(270)	-		(313)
At 28 December 2013	**6,429**	**87,788**	**4,176**	**143**	**98,536**
Depreciation					
At 29 December 2012	3,479	81,356	3,805	-	88,640
Charge for the period	738	2,080	100	-	2,918
Disposals	(33)	(156)	-	-	(189)
At 28 December 2013	**4,184**	**83,280**	**3,905**	**-**	**91,369**
Net book value					
At 28 December 2013	**2,245**	**4,508**	**271**	**143**	**7,167**
At 29 December 2012	2,891	4,409	348	721	8,369

8. INVESTMENTS

Cost	Investment in ESOT* £000
At 29 December 2012	46,755
Disposals	(4,260)
At 28 December 2013	**42,495**
Net book value	
At 29 December 2012	46,755
At 28 December 2013	**42,495**

*ESOT is the employee share ownership trust.

Employee Share Schemes
The Company maintains three employee share ownership trusts, which hold shares in Howden Joinery Group Plc (formerly Galiform Plc). These are summarised as follows:

	Shareholding (No. of shares)	Value on 28 Dec 2013 £000	Dividends waived
Howden Joinery Employee Share Trust	10,116,832	33,800	Y
Free Share Trust	730,895	2,442	Partial
Nominee Accounts	208,154	695	N/A

As at 28 December 2013, 69% of the above shares were allocated to existing options awards *(2012: 85%)*. The trusts have been funded by the employing companies in the Group to acquire shares in Howden Joinery Group Plc. The cost of running these trusts is included in the profit and loss account. The Trusts undertake the following activities:

Howden Joinery Employee Share Trust
To transfer shares to executive directors when shares vest under various share option and long term investment plans.

Free Share Trust
To transfer shares to employees when shares vest under the Freeshare Plan.

Nominee Accounts
To hold restricted shares for individual employees.

9. DEBTORS

Amounts falling due within one year:	**28 Dec 2013 £000**	29 Dec 2012 £000
Trade debtors	**72**	108
Amounts owed by parent and fellow subsidiary undertakings	**155,653**	799,810
Other debtors	**73**	286
Deferred tax asset (note 12)	**3,084**	3,289
Prepayments and accrued income	**4,600**	2,761
VAT	**1,111**	1,443
Corporation tax	**2,168**	174
	166,761	807,871

10. CREDITORS

Amounts falling due within one year:	28 Dec 2013 £000	29 Dec 2012 £000
Trade creditors	**464**	2,421
Amounts owed to parent and fellow subsidiary undertakings	**219,208**	873,002
Other taxes and social security	**438**	428
Other creditors	**184**	641
Accruals	**15,910**	11,722
	236,204	888,214

11. PROVISIONS FOR LIABILITIES AND CHARGES

	Property Provision £000
At 29 December 2012	8,298
Utilisation	(2,387)
Charged	420
Released	(1,436)
At 28 December 2013	**4,895**

The property provision mainly covers onerous leases. For any such leases, the Company provides for any shortfall between rent payable and rent receivable on any non-trading leased properties. The provision is based on the period until the end of the lease, or until the Company can cover the shortfall by subletting, assigning or surrendering the lease. None of the provisions are short term. The property provision also includes amounts for any related shortfalls in business rates on these properties, and for dilapidations.

12. DEFERRED TAXATION

Analysis of deferred tax balances:	28 Dec 2013 £000	29 Dec 2012 £000
Accelerated capital allowances	**1,696**	2,186
Short term timing differences	**1,388**	1,103
Total	**3,084**	3,289

Reconciliation of the movements in the deferred tax asset :

	£000
At the start of the period	**3,289**
Charged during the period	**549**
Change of rate*	**(462)**
Adjustment in respect of prior periods	**(292)**
At the end of the period	**3,084**

*In July 2013 Parliament approved the Finance Bill which reduces the UK Standard rate of Corporation tax from 23% to 21% with effect from 1 April 2014 and 21% to 20% from 1 April 2015. All deferred tax assets and liabilities have been recognised at 20% (*2012: 23%*).

There are potential deferred tax assets in relation trading losses totalling £6.2m (2012: £7.1m). It is not considered probable that future taxable profits will be available against, which the unused tax losses can be utilised. These losses may be carried forward indefinitely

13. AUTHORISED AND ISSUED SHARE CAPITAL

	28 Dec 2013 £000	29 Dec 2012 £000
12,500,000 authorised ordinary shares of £1 each	**12,500**	12,500
12,357,978 allotted issued and fully paid ordinary shares of £1 each	**12,358**	12,358

14. RECONCILIATION OF MOVEMENT IN SHAREHOLDERS' DEFICIT

Movements during the period were as follows:

	Share Capital £'000	Profit and Loss Reserve £'000	Capital Contribution Reserve £'000	Share-Based payment Reserve £'000	Shareholders' Deficit £'000
As at 29 December 2012	12,358	(343,730)	280,315	16,907	(34,150)
Profit for the period	-	4,205	-	-	4,205
Share based payments	-	-	-	4,326	4,326
As at 28 December 2013	**12,358**	**(339,525)**	**280,315**	**21,233**	**(25,619)**

The Capital Contribution Reserve is distributable.

15. FINANCIAL COMMITMENTS

The annual commitments under non-cancellable operating leases were as set out below:

	28 Dec 2013		29 Dec 2012	
Operating leases which expire:	Property £000	Plant and Machinery £000	Property £000	Plant and Machinery £000
Within one year	**252**	**13**	157	7
Between two and five years	**63**	**101**	650	154
Over five years	**8,922**	**-**	8,437	-
	9,237	**114**	9,244	161

16. PENSIONS

i) Defined contribution pensions

The Howden Joinery Group Plc operates a defined contribution scheme for its employees. The Company's pension charge for the current year for the defined contribution pension scheme was £48,000 *(2012: £52,000)*. There were no outstanding contributions at the year end *(2012 nil)*.

ii) Defined benefit pensions

The Company participates in the Howden Joinery Group Plc group retirement benefit plan. This is a defined benefit multi-employer arrangement, which operates through a funded pension scheme which provides benefits based on the final pensionable pay of participating employees. The assets of the scheme are held separately from those of the Group, being invested with independent fund managers. The Company is unable to identify its share of the underlying assets and liabilities of the scheme and accordingly accounts for the scheme as if it was a defined contribution scheme. This is the prescribed treatment in FRS 17 "Retirement Benefits"

Further information about the Howden Joinery Group Plc defined-benefit retirement benefit scheme is available in the Howden Joinery Group Plc consolidated Annual Report and Accounts. The recent most completed actuarial valuation was carried out at 5 April 2011 by the scheme actuary. The actuary advising the Group has subsequently rolled forward the results of the 5 April 2011 valuation to 28 December 2013, and has restated the results onto a basis consistent with market conditions at that date. This exercise showed a scheme deficit at 28 December 2013 of £54.3m *(2012: £154.5m)*, before netting off the associated deferred tax asset. The roll-forward was done according to the requirements of International Accounting Standard 19: "Employee Benefits" ("IAS 19", under which the Howden Joinery Group reports its results), rather than FRS 17 (under which this Company reports its results). However ,management have no reason to believe that there would be any significant difference between a valuation under FRS17 and one under IAS 19.

The Company's defined benefit pension charge for the year was £18.2m (*2012: £21.0m*). There are no outstanding contributions at the year end *(2012 nil)*.

The Group adopted IFRS with effect from 26 December 2004, and therefore the Group consolidated financial statements disclose pension charges, assets, and liabilities in line with IAS 19 "Employee Benefits". The Group does not believe that there are any material differences between the net pension deficit and the pension charge under IAS 19, compared to under FRS17. It may therefore be useful to users of these accounts to consult the full IAS 19 disclosures given in the consolidated financial statements of Howden Joinery Group Plc.

17. SHARE BASED PAYMENTS

1) Details of each scheme

The Company recognised a charge of £4.3m (2012: £1.2m) in respect of share-based payments during the period. The Group has various share-based payment schemes, which are all equity-settled. The main details of all schemes which existed during the period are given below.

a) Co-Investment Plan

This is a co-investment plan where each participant is permitted to invest a limited amount of shares on an annual basis for the purposes of the Plan.

2011 award: 25% of the award will vest if PBT growth at the end of the 2013 financial year is at a rate of 6% p.a., based on the December 2010 accounts. 100% of the award will vest if PBT growth on the same basis is 12% p.a. or above. **2012 award**: 25% of the award will vest if PBT growth at the end of the 2014 financial year is at a rate of 6% p.a., based on the December 2011 accounts. 100% of the award will vest if PBT growth on the same basis is 12% or above. **2013 award**: 25% of the award will vest if PBT growth at the end of the 2015 financial year is at a rate of 6% p.a., based on the December 2012 accounts. 100% of the award will vest if PBT growth on the same basis is 12% or above.

b) Executive Share Options

This is a discretionary share option plan. These options are granted with an exercise price equal to market value.

The vesting period is three years from the date of grant with an exercise period of seven years (i.e. a total life of ten years). In the information below, these options have been further subdivided according to their different performance conditions, in order to give more meaningful information. The different subdivisions and performance conditions are as follows:

i) 40% vesting if EPS growth equals RPI+40%, rising to 100% vesting for EPS growth of RPI+100%.

ii) Full vesting will occur if the Group's cumulative profit before tax is at least £90m over the three financial years ending December 2009, 2010, and 2011. If this is not achieved there will be no vesting.

c) Howden Joinery Group Long Term Incentive Plan

This is a discretionary plan under which the Group may grant different types of share award including market value and nil cost options, conditional awards of shares and restricted shares (where the employee is the owner of the shares from the date of award but subject to forfeiture). Unless otherwise specified all awards have substantially the same terms.

(i) Market value options, the vesting period for which is three years from the date of grant with an exercise period of seven years (i.e. a total life of ten years). Options will vest if cumulative PBT of £90m is achieved over the three financial years ending 2009, 2010 and 2011.

(ii) Market value which vest after a three year period from the date of grant. 15% of the options will vest if the group achieves growth in pre-exceptional PBT equivalent to RPI over the performance period; 100% will vest if pre-exceptional PBT growth is equivalent to RPI + 8% is achieved.

(iii) Conditional Share Award - shares will vest at the end of a three year period commencing on the date of grant subject to continuing employment.

(iv) ***2011 grant :*** 25% of the award will vest if PBT growth at the end of the 2013 financial year is at a rate of 6% p.a., based on the December 2010 accounts. 100% of the award will vest if PBT growth on the same basis is 12% p.a. or above. ***2012 grant:*** 25% of the award will vest if PBT growth at the end of the 2014 financial year is at a rate of 6% p.a., based on the December 2011 accounts. 100% of the award will vest if PBT growth on the same basis is 12% p.a. or above. ***2013 grant:*** 25% of the award will vest if PBT growth at the end of the 2015 financial year is at a rate of 6% p.a., based on the December 2012 accounts. 100% of the award will vest if PBT growth on the same basis is 12% p.a. or above.

d) Share Award Plan

This is a discretionary plan under which the Group may grant nil cost options subject to conditions as determined by the Group. 2013 award: shares will vest at the end of a five year period commencing on the date of grant, subject to continuing employment.

17. SHARE BASED PAYMENTS (continued)

2) Movements – The following tables show the number and weighted average exercise prices ("WAEP") of each category of options during the period, and movements in each category.

a) Co-investment Plan: 2011, 2012 and 2013 awards. 25% of the award will vest if 6% growth in PBT is achieved; 100% will vest if 12% PBT growth is achieved.	52 weeks to 28 December 2013 Number	52 weeks to 28 December 2013 WAEP (£)	53 weeks to 29 December 2012 Number	53 weeks to 29 December 2012 WAEP (£)
In issue at start of period	5,186,333	0.00	2,462,267	0.00
Granted in period	1,514,076	0.00	2,724,066	0.00
Lapsed in period	0	N/A	0	N/A
Exercised in period	0	N/A	0	N/A
In issue at end of period	6,700,409	0.00	5,186,333	0.00
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	1.11		1.75	
Weighted average fair value of options granted during the period (£)	2.24		0.00	
Range of exercise prices for options outstanding at the period end (£):				
- from	0.00		0.00	
- to	0.00		0.00	

b) Executive Share Options *i) 40% vesting if EPS growth = RPI+40% rising to 100% vesting if EPS growth = RPI+100%*	52 weeks to 28 December 2013 Number	52 weeks to 28 December 2013 WAEP (£)	53 weeks to 29 December 2012 Number	53 weeks to 29 December 2012 WAEP (£)
In issue at beginning of period	466,871	1.07	586,344	1.07
Granted in period	0	N/A	0	N/A
Lapsed in period	0	N/A	0	N/A
Exercised in period	(191,388)	1.07	(119,473)	1.07
In issue at end of period	275,483	1.07	466,871	1.07
Exercisable at end of period	275,483	1.07	466,871	1.07
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		2.22		1.37
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.00		0.00	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	1.07		1.07	
- to	1.07		1.07	

17. SHARE BASED PAYMENTS (continued)

b) Executive Share Options	52 weeks to 28 December 2013	52 weeks to 28 December 2013	53 weeks to 29 December 2012	53 weeks to 29 December 2012
ii) cumulative PBT of £90m over three financial years ending 2009, 2010 and 2011	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	8,125,944	0.38	9,557,430	0.38
Granted in period	0	N/A	0	N/A
Lapsed in period	0	N/A	0	N/A
Exercised in period	(5,978,715)	0.33	(1,431,486)	0.38
In issue at end of period	2,147,229	0.50	8,125,944	0.38
Exercisable at end of period	2,147,229	0.50	8,125,944	0.38
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		2.31		1.37
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.00		0.00	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	0.50		0.25	
- to	0.50		0.50	

c) Long Term Incentive Plan - Options	52 weeks to 28 December 2013	52 weeks to 28 December 2013	53 weeks to 29 December 2012	53 weeks to 29 December 2012
i) cumulative PBT of £90m over three financial years ending 2009, 2010 and 2011	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	227,000	0.36	1,468,622	0.37
Granted in period	0	N/A	0	N/A
Lapsed in period	0	N/A	0	N/A
Exercised in period	(127,000)	0.36	(1,241,622)	0.37
In issue at end of period	100,000	0.36	227,000	0.36
Exercisable at end of period	100,000	0.36	227,000	0.36
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		2.43		1.34
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.00		0.00	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	0.36		0.36	
- to	0.36		0.36	

17. SHARE BASED PAYMENTS (continued)

c) Long Term Incentive Plan - Options

ii) 2012 PBT increase by between RPI and RPI + 8%	52 weeks to 28 December 2013 Number	52 weeks to 28 December 2013 WAEP (£)	53 weeks to 29 December 2012 Number	53 weeks to 29 December 2012 WAEP (£)
In issue at beginning of period	2,710,531	0.81	2,710,531	0.81
Granted in period	0	N/A	0	N/A
Lapsed in period	0	N/A	0	N/A
Exercised in period	(1,315,860)	0.81	0	N/A
In issue at end of period	1,394,671	0.81	2,710,531	0.81
Exercisable at end of period	1,394,671	0.81	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		2.27		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.00		0.25	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	0.81		0.81	
- to	0.81		0.81	

iii) Conditional Share Award - subject to continuing employment	52 weeks to 28 December 2013 Number	52 weeks to 28 December 2013 WAEP (£)	53 weeks to 29 December 2012 Number	53 weeks to 29 December 2012 WAEP (£)
In issue at beginning of period	3,600	0.00	2,100	0.00
Granted in period	1,000	0.00	1,300	0.00
Lapsed in period	0	N/A	200	0.00
Exercised in period	(1,200)	0.00	0	N/A
In issue at end of period	3,400	0.00	3,600	0.00
Exercisable at end of period	0	0.00	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		2.38		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	1.34		1.75	
Weighted average fair value of options granted during the period (£)	2.14		1.05	
Range of exercise prices for options outstanding at the period end (£):				
- from	0.00		0.00	
- to	0.00		0.00	

17. SHARE BASED PAYMENTS (continued)

c) Long Term Incentive Plan - Options	52 weeks to 28 December 2013	52 weeks to 28 December 2013	53 weeks to 29 December 2012	53 weeks to 29 December 2012
(iv) 2011, 2012, and 2013 grants - PBT to increase by between 6% - 12%	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	251,191	1.55	150,961	1.09
Granted in period	67,224	2.38	100,230	1.28
Lapsed in period	0	N/A	0	N/A
Exercised in period	0	N/A	0	N/A
In issue at end of period	318,415	141.82	251,191	1.18
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.99		1.73	
Weighted average fair value of options granted during the period (£)	1.00		0.59	
Range of exercise prices for options outstanding at the period end (£):				
- from	1.09		1.09	
- to	2.38		1.28	

d) Share Award Plan - subject to continuing employment	52 weeks to 28 December 2013	52 weeks to 28 December 2013
	Number	WAEP (£)
In issue at beginning of period	0	N/A
Granted in period	47,517	N/A
Lapsed in period	0	N/A
Exercised in period	0	N/A
In issue at end of period	47,517	0.00
Exercisable at end of period	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0	
Weighted average contractual life remaining for share options outstanding at the period end (years)		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	4.25	
Weighted average fair value of options granted during the period (£)	0.00	
Range of exercise prices for options outstanding at the period end (£):		
- from	0.00	
- to	0.00	

3) Fair value of options granted

The fair value of all options granted except Sharesave is estimated on the date of grant using a binomial option valuation model. Sharesave schemes are valued using a Black Scholes model as they are not considered to be of such complexity that they require a binomial model.

Scheme:	52 weeks to 28 December 2013	53 weeks to 29 December 2012
Dividend yield (%)	2.5	1.5
Expected share price volatility (%)	52.0	54
Historical volatility (%)	52.0	54
Risk-free interest rate (%)	1.1	3.0
Expected life of options (years)	4.4	4.8

18. ULTIMATE PARENT COMPANY AND RELATED PARTY TRANSACTIONS

The Company's parent company is Howden Joinery Holdings Ltd and the ultimate parent company and controlling entity is Howden Joinery Group Plc, both incorporated in Great Britain and registered in England and Wales.

The largest and smallest group in which the results of the Company are consolidated is that headed by Howden Joinery Group Plc. The consolidated accounts of this group are available to the public and can be obtained from the Registrar of Companies, Companies Registration Office, Crown Way, Maindy, Cardiff, CF14 3UZ.

The Company is exempt under FRS 8 from the requirement to disclose transactions with other group entities within the Howden Joinery Group Plc Group, on the grounds that it is a wholly owned subsidiary.